

Monday, October 19

The news from the Persian Gulf was ominous, with Iran firing a missile into a Kuwaiti oil installation. The market news from Japan, Hong Kong, and Europe was terrifying even before the New York market opened. Only about a quarter of my foreign sell orders had been executed. All of the markets in the world had record down days as the New York decline spread a deadly cloud of panic around the world. Hong Kong couldn't make it; the exchange was closed down Monday night. [It wouldn't reopen for the rest of the week.] It was obvious that the panic cloud was going to come back around from Europe and get us again.

I resolved to be active in this panicky situation, knowing that many stocks would trade at throwaway prices. I called in Chuck McQuaid, Terry Hogan, and Leah Zell, the three Acorn analysts, and told them to take all of their work in process on new ideas and put it aside until further notice. Instead, each was asked for the names of four or five favorite companies, regardless of price. Price would come to us, I figured. This wish list became the center of my decision process, accompanied by sell orders in a number of current holdings.

The market decline was prodigious. Foreign buyers had turned into sellers. Mutual fund managers were forced to dump stocks to meet redemptions as their shareholders changed from careful investors into a lynch mob. Portfolio insurance managers put in sell orders on index futures, causing their prices to fall to unprecedented discounts relative to the underlying stock values. In turn, program traders sold stock to capture the spread, forcing the market down further. Many of the hedges could not be executed on the floor, so that the hedging techniques proved unusable when most needed. The volume was so heavy that prices on the Quotrons were an hour or more delayed, adding more uncertainty to a situation that already had a bucketful. The emotional feeling was like the wild adrenaline high you would get on a racing sailboat hit by a sudden thunderstorm. At the end of the day, Acorn had bought \$6 million of stock and sold \$3 million worth on twenty-two trades, a record level for the fund. Our futures position made \$4.4 million in the day. The fund was down 8 percent,